Market View

Macro is back in the driver's seat for crypto performance, as markets now see a September rate cut as virtually certain.

What to do with a steeper yield curve? With cuts all but priced in, a steepening of the US Treasury yield curve is an inevitable outcome. Already the 2y10y part of the curve has spiked 10bps over the last 10 days before pulling back this week. The question now is how to interpret its significance for risk assets.

The reality is that 10y yields have actually been falling recently (currently 4.15%) while even 30y yields have retraced (despite concerns about contagion from Europe's bond market turmoil), which offers two takeaways:

- the steepening has been driven primarily by a faster decline in short-term rates and not necessarily by a higher term premium in the long-end, despite fiscal concerns
- market players more than likely still expect a stable path for steady-state US economic growth, with breakeven inflation actually trending lower over the last 10 days.

In other words, this combination actually makes us **relatively sanguine about the prospects for crypto** in the near term, as the underlying drivers are far from disconcerting, in our view.

Labor market under scrutiny. Expectations for August's nonfarm payrolls print (out as we go to publish) are relatively weak with a median Bloomberg survey forecast of 75k, though Polymarket data suggests higher odds of exceeding these levels. More important may be if we see any revisions to prior months. This is the first NFP report from the US Bureau of Labor Statistics following the removal of Commissioner Erika McEntarfer.

We're seeing the regime change from a "tight" to "slack" labor-market as job openings per unemployed worker slipped to 0.99. July JOLTS showed vacancies down to ~7.18M (median Bloomberg survey forecast 7.38M) from ~7.36M, pushing the jobs-per-unemployed worker ratio under 1.0 for the first time since April 2021 (Chart 1). Meanwhile quits were stable M/M, likely due to workers realizing limited alternative opportunities in the job market.

Chart 1: Jobs per unemployed worker falls below 1 for the first time since 2021.

We believe that inflection is driving September rate cut odds even higher, which markets now see as virtually certain, and it dovetails with Fed rhetoric that easing may begin soon. Fed-funds futures price ~96% odds of a 25bp reduction this month, and Governor Chris Waller's "Let's get on with it" speech explicitly endorsed cutting in September with potential follow-ups over the next 3–6 months (Chart 2).

Chart 2: Odds of a 25bp cut in September have reached 96%

We think a vacancy-to-unemployment ratio (θ) **of below 1 mechanically lowers wage growth and supports a path for consecutive cuts**. Mechanically, lower θ lowers workers' outside opportunities and probabilities of finding a job, so worker bargaining weakens and wages compress. Through this dynamic, research suggests that vacancy and quit rates have a statistically significant predictive power for wage disinflation. As θ falls below 1, job-filling becomes easier, firms post fewer new openings, and workers' bargaining power recedes—dampening wages without even requiring a spike in layoffs or quits.

Subsequent wage disinflation typically passes through to "supercore" (non-housing services) **prices with a ~10-month lag, implying inflation relief into 2026 if slack persists.** The White House Council of Economic Advisers constructed a wage index for non-housing services and found its predictive power for non-housing services inflation peaks at roughly a 10-month lead. With θ now below 1, we think the pipeline to softer "supercore" inflation should look more credible on the Fed's forecast horizon and may offset the threat of inflationary tariff effects to some degree, as well as provide more cover for consecutive rate cuts.

Pump.fun reclaims launchpad throne

Pump.fun's new "Project Ascend" has reshaped creator economics overnight, triggering a step-change in supply-side engagement and monetization. The immediate post-launch jump in creator fee claims to just under $1M signals confidence in payout credibility and strong creator incentives, which we think will raise the effective supply curve of launches since it encourages more participation from higher-quality creators (Chart 3).

Chart 3: Creator fee claims nearly 5x overnight upon "Project Ascend" announcement

Pump.fun has reclaimed competitive share after midsummer losses, with revenue and "graduate" flow tilting decisively back in its favor. Revenue share migrated from a period where letsBONK.fun dominated to one where pump.fun now captures the vast majority of launchpad revenues. The graduate share has also swung back toward pump.fun at the same time as the daily-active-address ratio for letsBONK.fun/pump.fun collapsed from ~2 to ~0.25 (Chart 4, 5). We believe this tandem shift in demand (users) and supply (creators) will continue to be bolstered by “Project Ascend”.

Chart 4: Pump.fun reclaims dominant share of launchpad revenue

Chart 5: Pump.fun reclaims dominant share of “graduate tokens” and active addresses share

Crypto & Traditional Overview

(Prices and ETF flows as of 4pm EDT, Sep 4)

Source: Bloomberg

Coinbase Exchange & CES Insights

Crypto traded sideways this week, but with notable underlying dynamics. The recent breakout of gold above $3,500 has provided a small tailwind for BTC's price, demonstrating a renewed demand for inflation hedges. However, more risk-seeking parts of the market are showing weakness. Digital asset treasuries are under some pressure, with a number of them now trading at discounts to their holdings. With September generally being a poor month for U.S. equity markets, this could further pressure shares, eroding premiums and widening discounts. Looking at perpetual futures' funding rates, they have largely reset and now indicate neutral positioning as we head into the end of the third quarter.

Trading volumes on Coinbase platform (USD)

Trading volumes on Coinbase platform by asset

Financing Rates

The Week Ahead

For an archive of the weekly market commentary and all our other research reports, please visit our Research Portal.

Weekly Market Call

View replays of our weekly crypto market analyses from our Americas, APAC and EMEA Coinbase Institutional teams.

Watch now

Subscribe

Not subscribed to the Weekly Market Commentary and want to be added to the list?

Subscribe here

Also, please take a look at our Institutional Research portal for an archive of all our research reports.

View Report

2025 © Coinbase, Inc. All Rights Reserved. COINBASE and related logos are trademarks of Coinbase, Inc., or its Affiliates. The views and opinions expressed herein are those of the author(s) and do not necessarily reflect the views of Coinbase and summarizes information and articles with respect to cryptocurrencies or related topics. This material is for informational purposes only and is only intended for sophisticated investors, and is not (i) an offer, or solicitation of an offer, to invest in, or to buy or sell, any interests or shares, or to participate in any investment or trading strategy, (ii) intended to provide accounting, legal, or tax advice, or investment recommendations, or (iii) an official statement of Coinbase. No representation or warranty is made, expressed or implied, with respect to the accuracy or completeness of the information or to the future performance of any digital asset, financial instrument or other market or economic measure. The information is believed to be current as of the date indicated and may not be updated or otherwise revised to reflect information that subsequently became available or a change in circumstances after the date of publication. Coinbase, its affiliates and its employees do not make any representation or warranty, expressed or implied, as to accuracy or completeness of the information or any other information transmitted or made available. Certain statements in this document provide predictions and there is no guarantee that such predictions are currently accurate or will ultimately be realized. Prior results that are presented here are not guaranteed and prior results do not guarantee future performance. Recipients should consult their advisors before making any investment decision. Coinbase may have financial interests in, or relationships with, some of the assets, entities and/or publications discussed or otherwise referenced in the materials. Certain links that may be provided in the materials are provided for convenience and do not imply Coinbase's endorsement, or approval of any third-party websites or their content. Any use, review, retransmission, distribution, or reproduction of these materials, in whole or in part, is strictly prohibited in any form without the express written approval of Coinbase. To the extent you make use of trading services, these may be provided to you by Coinbase, Inc. or Coinbase Luxembourg S.A. ("CB Lux"), subject to applicable law and depending on your location. Coinbase, Inc. is licensed to engage in virtual currency business activity by the New York State Department of Financial Services. Coinbase, Inc., 248 3rd St #434, Oakland, CA 94607. CB Lux is authorised by the Luxembourg Commission de Surveillance du Secteur Financier to provide certain crypto-asset services pursuant to the European Union's 'Markets in Crypto-Assets' regulation.

© Coinbase 2025 | Coinbase Custody International Limited
70 Sir John Rogerson's Quay | Dublin 2 | D02 R296 | Ireland
www.coinbase.com
Get in touch

Unsubscribe from future editions of this type of message.

X (Fo Tw
Lin
Blo